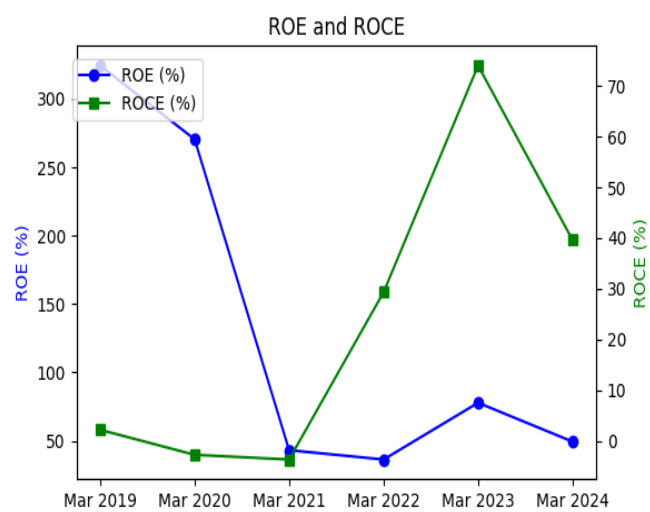
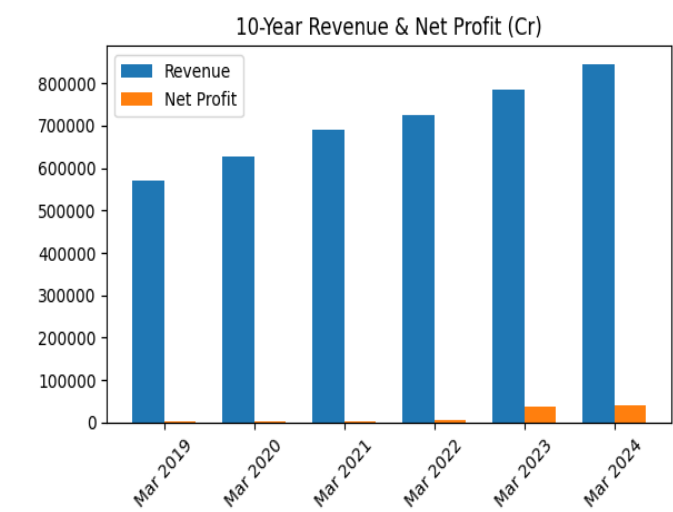
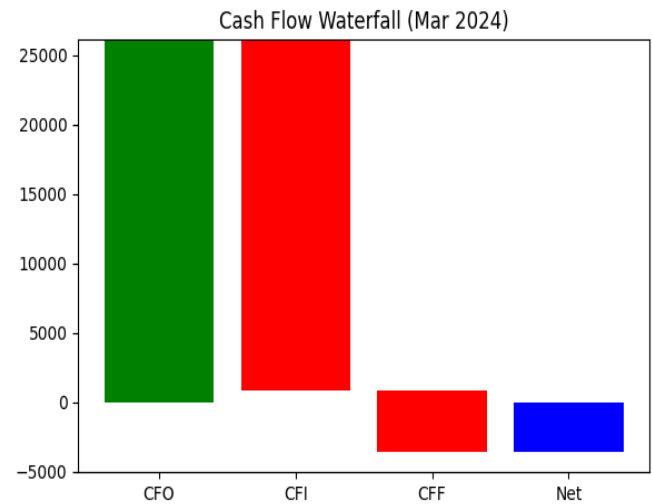
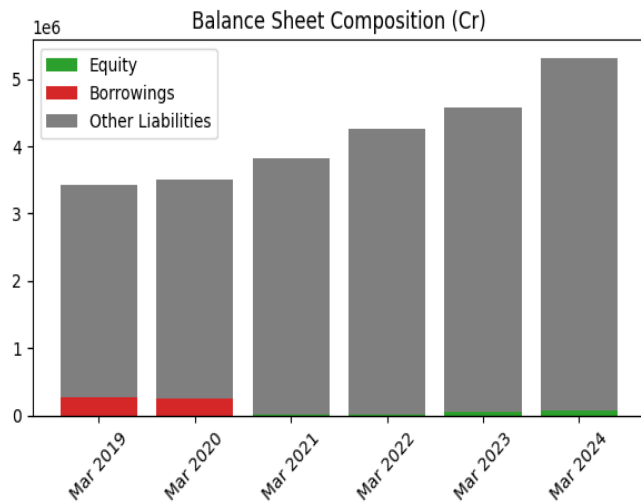


# Life Insurance Corporation of India (LIC)

|                               |                                    |                                          |
|-------------------------------|------------------------------------|------------------------------------------|
| <b>Revenue</b><br>■896,106 Cr | <b>Net Profit</b><br>■41,468 Cr    | <b>ROE</b><br>49.4%                      |
| <b>ROCE</b><br>39.6%          | <b>CFO Quality</b><br>High Quality | <b>Allocation</b><br>Shareholder Returns |





## Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Debt-free balance sheet provides financial flexibility and eliminates interest burden
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow

## Cons

- Macro-economic headwinds may pose challenges to near-term growth

## Capital Allocation Pattern: Shareholder Returns